

al growth. “However, if the conflict between Iran and Israel continues, it would impact crude oil prices as well as trade in case of a blockade of the Strait of Hormuz. India also has a trade surplus with Iran, and its exports may get impacted,” he says.

Businesses across sectors and sizes seem to have dialled down on some of the optimism they had exuded earlier and are tightening their belts. Amid subdued global demand that is affecting exports and causing a slowdown in revenue growth for IT firms, companies in the services sector registered the sharpest decline in their business confidence at 51.5 during Q4FY24. On the other hand, light industries, which comprise businesses related to food products, beverages, textiles, wood, furniture, paper, publishing, and leather, remained the most optimistic with a reading of 56.1. The business confidence for all three sectors—services, light industry and heavy engineering—remained lower than that recorded in the previous quarter.

Similarly, even across business sizes, business confidence took a hit compared to the October-December 2023 quarter, with small and micro businesses registering more dampened readings of 52.2 and 51.4, respectively.

According to a recent report by QuantEco Research,

activity momentum may slow in FY25 due to the lagged impact of tighter fiscal, monetary, and regulatory policies, as well as the firming up of input price inflation vis-à-vis its deflationary state in FY24. “Although global demand conditions appear resilient for now, adverse spillover risks from the ongoing geopolitical disturbances would need to be assessed,” it says, adding that it estimates FY25 GVA (gross value added) and GDP growth at 6.6% and 6.8%, respectively.

The BCI also revealed that firms remain confident about the overall economic prospects for their business in the current quarter (April-June 2024), with a reading of 5.7 on a scale of 10 (slightly higher than the 5.5 in the previous quarter), while expectations on hiring conditions are significantly down at 5.1; sentiments around profits are also marginally down at 5.6 (*see graphic*).

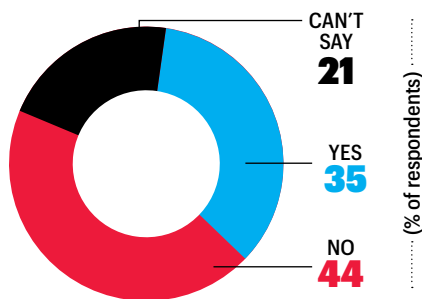
But worries abound for India Inc. and a rate cut by the RBI is not expected anytime soon. Only 29% of respondents surveyed are of the view that a rate cut may take place in the first half of the current financial year by September 2024. With retail inflation remaining stubbornly above the 4% mark and the ongoing tensions between Israel and Iran, analysts expect a prolonged pause. Inflationary pressures may also continue in the first quarter of FY25, as 41% of respondents

54.3

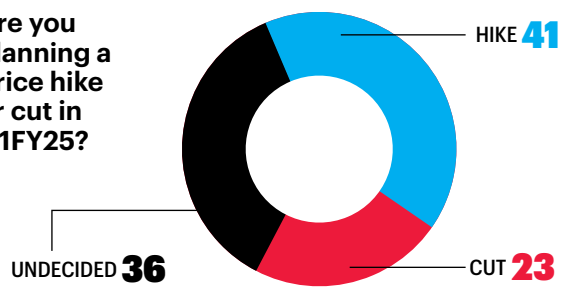
THE BUSINESS CONFIDENCE INDEX IN THE MARCH 2024 QUARTER COMPARED TO 56.5 IN THE PREVIOUS QUARTER

WHAT BUSINESSES SAY

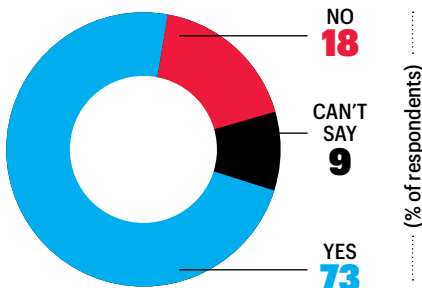
Do you expect favourable demand conditions to continue with the RBI expecting rural demand to pick up?



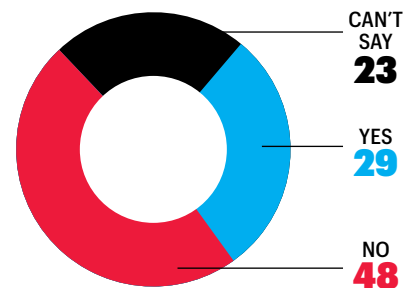
Are you planning a price hike or cut in Q1FY25?



Do you expect the General Elections to impact business conditions this quarter?



Based on the RBI's latest monetary policy review, do you expect a rate cut in H1FY25?



SOURCE THE BT-C FORE BUSINESS CONFIDENCE SURVEY CONDUCTED BETWEEN APRIL 9 AND 22, 2024, OF 500 CEOs OR CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES ACROSS 12 CITIES—DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM, AND BHUBANESWAR